- Inflation targeting anchors money, it stabilizes the macroeconomy and the exchange rate.
- Financial regulation must be sound, protecting the vitality of free men and women that do financial activities but addressing the market failure.
- Deep and liquid financial markets, that are allowed to adjust, are the shock absorbers. We must do everything possible to foster greater market quality, i.e., liquidity, resiliency and market efficiency.

In peacetime, we must nurture these foundations. In India, we have made some progress towards these goals.

The Fiscal Responsibility and Budget Management (FRBM) Act gave fiscal prudence for some years, but that has run into many difficulties. The formal objective of the RBI is now the delivery of 4 per cent CPI inflation. Some items of the FSLRC vision have been implemented, but most have not, and many financial intermediaries are beset with concerns about solvency. We made some progress on deep and liquid markets in the 1992–2001 period, but things have deteriorated in the following years. We moved up to a flexible exchange rate from 1993 till 2014, but exchange rate flexibility declined thereafter.

Even at the incipient stage of a crisis, sharp actions on these four fronts can stave off greater difficulties. It is the responsibility of public intellectuals and policymakers to speak truth to power at such times. As an example, in 2012, a sharp fiscal correction was initiated, and helped reduce the downstream difficulties. [13] It was a difficult message to give the political leadership of the time, to undertake a fiscal correction when the general election was nearing.

Summing up

A macroeconomic/financial crisis is defined as a time when the normal functioning of the real economy is impaired. The Indian experience